

to rise above the price at which they acquired he property. The same is true with some stocks as well, where the context to stay invested would have changed, yet you stay invested, hoping for things to change, ignoring the real reason for the investment losing its worth. Don't be greedy based solely on the past performance of an investment; look for the reasons for the fluctuation in its value (down or up) to change your view. Sometimes, it is better to cut your losses on an investment rather than keep hoping for a turnaround.

## 3 ENVY: DESIRE WHAT SOMEONE ELSE HAS

How often do you come away from a conversation feeling that you should have done the same investment as your friend? That stock, which has tripled since they invested, should have been with you, too. It is common to use the rear-view mirror when it comes to making investments, with the belief that past performance is a sure way to make future gains. This is also a trap set by smart wealth management managers who come up with limited-period exclusive offers that can do wonders. The offer is attractive and also makes one feel important with the great deal coming one's way.

However, many of these investments are hyped and often dangerous to your financial health. Take, for instance, the scores of investors who opened demat accounts in the wake of Covid, as they saw an opportunity to invest in stocks during the market turnaround in the first six months of the pandemic, between March and September 2020. While many investors benefited, many others felt the heat as not all decisions worked out favourably. Without getting into specific stocks, the sheer chase for returns prompted many new investors to put money in the small-cap segment because they saw the index surge sharply.

Not all of them deserved the price at which investors lapped them up. The result: there was a steep fall when the valuations skyrocketed without rationale. Basing your investment decision on the first piece of information that you are exposed to is a recipe for disaster.

### ANNUAL SENSEX RETURNS

| DATE | SENSEX | 1-YEAR RETURN (%) |
|---|---|---|
| Jan. 1, 2016 | 26,160.9 | -4.90% |
| Jan. 1, 2017 | 26,626.46 | 1.78% |
| Jan. 1, 2018 | 33,812.75 | 26.99% |
| Jan. 1, 2019 | 36,254.57 | 7.22% |
| Jan. 1, 2020 | 41,306.02 | 13.93% |
| Jan. 1, 2021 | 47,868.98 | 15.89% |
| Jan. 1, 2022 | 59,183.22 | 23.64% |
| Jan. 1, 2023 | 61,294.2 | 3.57% |
| Jan. 1, 2024 | 72,271.94 | 17.91% |
| Jan. 1, 2025 | 78,507.41 | 8.63% |

Source: BSE Sensex, historical data

Chasing the crowd when it comes to investing is better known as herd mentality. There are many examples to understand herd mentality and how it results in investments losing money. PMS (portfolio management services) is a special way to invest in the stock market, where an expert (licensed PMS operator) takes money on your behalf and builds a portfolio just for you.

The minimum that one needs to invest in a PMS is Rs 50 lakh, and the PMSs run portfolios that have often done well too. As is the case with all forms of investments, there are phases when certain methods do exceedingly well, but they may fail miserably when the variables favouring their performance are no more there. Consistent Compounders is the name of a PMS scheme offered by Marcellus Investment Managers. Marcellus's founder Saurabh Mukherjea is well known and regularly shares his views and opinions on